

profit after tax rose 29.5%, while compensation to employees grew 12.3%.

A recent report by the think-tank, ICRIER, says that nominal wage growth has barely kept pace with inflation, implying that real wages have been flat over the past six years. Analysing the findings of the Periodic Labour Force Survey, the report, India Jobs and Occupation Tracker, says that since 2019, nominal and real wages have grown at a CAGR of 6% and 0.5%, respectively.

Previously, a report by manpower supply agency Qess Corp based on its internal data had showed that 84% of formal jobs pay less than ₹20,000 per month, aligning with minimum wage standards across different states. "This suggests that while jobs are being created, wage growth has not kept pace with economic growth," it said. The report had also pointed out that wage stagnation is a major issue, even as India's GDP has grown from ₹113 lakh crore in FY14 to ₹296 lakh crore in FY24(E). "The lack of substantial wage increases suggests a disconnect between profitability and employee compensation," it said. The report also pointed out that minimum wage revisions have been slow and do not match rising costs of living, particularly in major cities where wages have remained stagnant for years.

Most of Qess Corp's more than 500,000 staff are employed at minimum wages or for a maximum of ₹28,000 a month. Only 10% of its staff are in ITES or engineering segments and earns over ₹30,000 to ₹45,000 per month and less than 3% are in pure IT. "Using only Qess data to say no Indian salaries have been increased will be unfair. A lot of the data is around entry level wages across segments," it had noted.

Devendra Kumar Pant, Chief Economist and Head (Public Finance) at India Ratings and Research, explains that among the non-BFSI firms in the formal sector, real wage growth has remained positive but has declined. "Rural real wage growth has now turned

positive, which is reflecting in stable rural demand. But urban demand remains a cause for concern, which has been evident in commentaries of FMCG firms," he says.

Lohit Bhatia, President, Workforce Management at Qess Corp, says it would be incorrect to say that there has been no growth. "Data shows that there has been average wage growth of 2.5-5% in the last five years, but it is not commensurate with inflation of 4-6%," he says.

Bhatia says industry is in compliance with the minimum wage across states and even higher than that in most states. "Whether it is a living wage or not is another question," he says. That begs the question, is there

a need to relook at minimum wages that range anywhere from ₹10,000 per month to over ₹20,000 per month depending on the state and the skill level.

Industry chamber Confederation of Indian Industry is, in fact, planning a study on why wage hikes have been low in several sectors.

BALANCING COSTS

One crucial question that industry stakeholders and experts ask is whether India Inc should give more jobs at lower wages at the entry level or increase wages and have fewer jobs.

"We must also realise that at the entry level, there is a demand and supply mismatch. Just about 20% of the workforce is in formal jobs. For a company, increasing the wage at this level would mean fewer jobs. We must take a calculated stand on whether we want higher wages or more formal sector jobs. In that sense, we

have a Catch 22 situation," says Bhatia.

Experts also note that corporate profitability has increased due to several factors, including deleveraging, improving productivity and reduced corporate tax rates. Besides, companies have to strike a fine balance on operational expenses, which is why the wages may not move in sync with profits.

Prakhar Tripathi, Partner at Deloitte India, says it

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